THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

CLASS 10 — SOCIAL SCIENCE · MEDIUM LEVEL CHAPTER TEST SET 3

Chapter 20: **Globalisation and the Indian Economy (Economics)** | RBSE Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Medium level: multi-step questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. Removing import duties on electronic goods is an example of: 1

(a) protection **(b)** nationalisation **(c)** taxation **(d)** liberalisation

2. Small producers in toys suffered after liberalisation because of: 1

(a) export subsidies **(b)** lower competition
(c) tax relief **(d)** cheap imported toys

3. Why do MNCs prefer joint production with local firms? 1

(a) to ban imports
(b) to use local knowledge of markets and reduce risk
(c) to raise tariffs
(d) to avoid profits

4. A foreign firm sets up a factory in India and exports its goods. This is an example of: 1

(a) quota **(b)** subsidy
(c) foreign investment and trade **(d)** tariff

5. The poor in rural areas gained less from globalisation because: 1

(a) they were rich
(b) they had more choice
(c) markets were near
(d) they lacked income to buy and access to markets

6. If the government raises the tax on imported shoes, the effect is that imported shoes become: 1

(a) cheaper **(b)** free **(c)** costlier **(d)** unavailable

7. A garment brand abroad places orders with a small unit in India and sells under its own name. The Indian unit: 1

(a) decides price **(b)** owns the brand
(c) pays no costs **(d)** earns low prices fixed by the brand

8. The Indian government joined the WTO to: 1

(a) print money
(b) impose quotas
(c) liberalise trade and integrate with the world
(d) close the economy

9. Which of these would attract an MNC to set up a unit? 1

(a) good infrastructure and low costs **(b)** no workers
(c) no roads **(d)** high taxes

10. Which statement is correct about MNCs and local companies? 1

(a) Local companies are bigger always **(b)** MNCs are banned
(c) They may cooperate or compete **(d)** They never meet

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 20–30 words each.

11. How does an MNC lower its costs by choosing a location? 2

12. What problems do small producers face under globalisation? 2

13. Why is the employment in the organised sector becoming less secure? 2

14. How has globalisation led to production being fragmented? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 40–60 words each.

15. Why are consumers in cities better off than those in villages? 3

16. Explain how an MNC like Cargill expanded in India. 3

17. Explain why MNCs buy up local companies. 3

OR

Discuss why labour laws may be relaxed in SEZs and its effect. 3

18. What is the importance of transport technology in globalisation? 3

OR

How do MNCs affect domestic firms? 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. Assess the WTO's role in promoting globalisation. 5

OR

Analyse the role of technology in making production and services global. 5

20. Examine the factors responsible for globalisation. 5

OR

Compare India's economy before and after 1991 in terms of trade policy. 5

END OF QUESTION PAPER — Total: 40 Marks

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